	Council
Title	Business Planning 2026-2031 (Medium Term Financial Strategy) and 2026/27 Budget
Date of meeting	5th March 2026
Report of	Councillor Simon Radford – Cabinet Member for Financial Sustainability
Wards	All
Status	Public
Key	Key
Urgent	No
Appendices	Appendix A – Medium Term Financial Strategy (MTFS) Appendix B – 2026/27 Council Tax Resolution Appendix C – Detailed Revenue Budgets, Savings and Income Generation, Pressures and Council Tax Summary Appendix D – Breakdown of service pressures Appendix E – Summary of Savings & Income Generation Proposals Appendix F1 – Non-executive Fees and Charges Appendix F2 – Executive Fees and Charges Appendix G – General Budget Consultation Report Appendix H – Cumulative Equalities Impact Analysis Appendix I1 – Capital Strategy Appendix I2 – Proposed Capital Programme Appendix J – Treasury Management Strategy Statement (TMSS) Appendix K – Housing Revenue Account Business Plan Appendix L – Reserves & Balances Policy Appendix M – Debt Management Policy Appendix N – Innovation Approach Appendix O - 2026/27 Council Tax Support Scheme
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Summary

This report sets out the proposed budget for 2026/27 and the council's Medium Term Financial Strategy (MTFS) which include the assumptions for 2026-31 with regard to council tax, other funding, expenditure forecasts, and the savings and income generation plans necessary to set a balanced budget. This helps to ensure resources are aligned to the strategic outcomes set out in Our Plan for Barnet.

The council continues to face increasing demand for services such as social care and temporary accommodation. To tackle the impact of these challenges in 2025/26 and beyond, we engaged an Improvement Partner, *Peopletoo*, to work with the council to identify further opportunities for reducing service demand, make savings, improve efficiency and increase income generation. This work took place alongside our ongoing review of in-year and future service pressures, as well as the council's continuing programme of transformation activity, including our work on digital transformation.

The Provisional Local Government Finance Settlement (PLGFS), which included the outcome of the Government's Fair Funding Reforms, was received on 17th December 2025. The MTFS presented to Council includes the outcome of the PLGFS, the Final Local Government Finance Settlement (FLGFS), and best estimates of other income and expenditure.

The revised MTFS shows a budget gap of £79.3m for 2026/27, including identified savings. Services, working alongside the Improvement Partner, have identified savings and income generation proposals of £9.4m leaving the unfunded gap of £79.3m. For 2026-2031 the MTFS shows the budget gap increasing across the MTFS period due to cost pressures with a forecast budget gap of £244m in 2031. This is after total savings identified of £19.4m and includes total Exceptional Financial Support (EFS) Financing costs of £69.5m (assuming EFS is approved to fund the budget gap in each year).

Despite continued efforts to reduce pressures and identify savings and income generating opportunities, there remains a 15% budget gap for 2026/27. As previously reported to Cabinet, we have sought assistance from Government in the form of an application for EFS to help achieve a balanced budget position for 2026/27. Following a further improvement to our funding in the Final Local Government Finance Settlement (FLGFS) the amount of EFS applied for has been adjusted from £88.4m to £79.6m.

The council received confirmation on 22nd February 2026 that the Minster of State for Local Government and Homelessness is minded to approve a capitalisation direction of a total not exceeding £79.6 million for 2026/27.

This Exceptional Financial Support will take the form of approval from the Government that the council is able to, in the short term, borrow funds and use capital receipts to support revenue expenditure. Any borrowing of funds has, in itself, revenue implications in the form of interest payments and Minimum Revenue Provision which must be put aside for the future repayment of any loan undertaken. These revenue impacts have been built into the MTFS.

The approval of Exceptional Financial Support gives the council time to develop and implement proposals to significantly reduce spend and increase income. EFS is not, and is not intended to be, a long-term solution to the council's financial position.

Consultation on the budget and the contents of the December 2025 Cabinet paper took place from 19 December 2025 to 2 February 2026. Results from the consultation and the conclusions from the Cumulative Equalities Impact

Assessment have been fed back to relevant lead officers and Cabinet Members within the council and were provided to Cabinet to inform decision making.

The revised Capital Programme, Treasury Management Strategy Statement (TMSS), and other appendices linked to budget setting are included with this report.

This report asks Full Council to approve the 2026/27 budget and it is a legal requirement for a balanced budget to be set. These proposals have been consulted on and have been referred by Cabinet onto Council so that Council can approve the budget envelope and set the Council Tax. This includes the undertaking of Exceptional Financial Support as outlined above.

Recommendations

That Council:

In respect of the Budget and Council Tax for 2026/27 and the MTFS 2026-31, taking into account the Cumulative Equality Impact Assessment and consultation findings,

Approve:

1. The MTFS, attached as Appendix A, and the detailed revenue budgets in Appendix C, including the proposed savings and funding for pressures in 2026/27;

2. That the budget 2026/27 is prepared on the basis of a 2.98% increase for the general element of Council Tax;

3. That the budget for 2026/27 is prepared on the basis of an increase of 2% for the Social Care Precept, to help fund social care;

4. The resolutions relating to Council Tax contained within Appendix B;

5. On the advice of the Chief Finance Officer, that it determines that the council's basic amount of Council Tax for 2026/27 as set out in Council Tax resolution Appendix B, 2(iv) is not excessive in accordance with the principles approved under section 52ZB and 52ZC of the Local Government Finance Act 1992, set out in the Referendums relating to Council Tax increases (Principles)(England) Report 2026/27;

6. The Capital Strategy as set out in Appendix I1;

7. The Capital Programme as set out in Appendix I2 and set out in Section 6;

8. The Treasury Management Strategy Statement for 2026/27 as set out in Appendix J;

9. The HRA Business Plan (at Appendix K); and

10. The proposed 2026/27 Council Tax Support Scheme (at Appendix O).

Note:

11. The Reserves & Balances Policy attached at Appendix L;

12. The Debt Management Policy attached at Appendix M;

13. The changes to rent for social rented homes, affordable rented homes, and temporary accommodation rents as well as changes to service charges for 2026/27 as outlined in the paper being presented to Council; and

14. The Gross Schools Budget of £528.857m for 2026/27 as outlined in the paper being presented to Council.

1 Reasons for the Recommendations

1.1 The council is legally obliged to set a balanced budget each year, which must balance expenditure against available resources. It is also a key element of effective financial management for the council to put together a financial forward plan to ensure that it is well placed to meet future challenges, particularly in the context of changes to local authority funding, increasing market pressures, demographic increases, and legislative changes.

1.2 The MTFS sets out the estimated overall financial position of the council over a period of time. This report gives an overview of the work undertaken towards a balanced budget for 2026/27 and to reduce the savings requirement for 2027/28 to 2030/31. This ensures that Councillors and the public are informed of this work, supporting good governance.

1.3 An overview of the process and progress to date was presented to Overview and Scrutiny (O&S) Committee on 11 December 2025.

1.4 The revisions to the capital programme discussed in this report ensure that it is consistent with the updated capital strategy and that the council's financial planning accurately reflects what is happening with scheme delivery. This ensures that the council can make effective decisions on the deployment of its scarce resources.

2 Business Planning for the Years 2026-2031

Local Government Funding Reform & Fair Funding Review 2.0 (FFR)

2.1 The Local Government Funding Reform (LGFR) consultation was a process initiated by the UK government to reshape local government funding in England. Between December 2024 and February 2025, the Government ran a consultation on the principles and objectives of the reform. It sought views on the approach to local authority funding reform through the local government finance settlement from 2026-27.

2.2 On 20th June 2025 the Government launched its final detailed consultation on the Local Government Finance Reform. The consultation ended on 15th August 2025 and details of what was covered in the FFR were given in the paper presented to Cabinet in September 2025. The council's responses to the consultation were included at Appendix B of that report.

Policy Statement

2.3 MHCLG published its policy statement and response to the Fair Funding Review consultation on 20th November 2025. Lobbying resulted in deprivation measures being updated to include housing costs and the use of the latest Revenue Outturn data. Key changes and confirmations from the policy statement were presented to Cabinet in December 2025.

Business Rates Reset and Revaluation

2.4 The Business Rates consultation was launched and closed over the summer. We are a 'top-up borough' so would not expect to gain nor lose as a result of the reset in 2026/27.

2.5 Due to the business rates reset, City of London and Local Government Futures confirmed that they didn't think there will be any benefit of continuing the Business Rates Pool in 2026/27. Given this, the MTFS assumes no benefit from a Business Rates Pool in 2026/27 and future years.

Autumn Budget

2.6 This budget should be seen in conjunction with the Policy document released by MHCLG on Thursday 20th November which set out the outcomes of the Fair Funding Review 2.0. The key headlines following the Autumn Budget were presented to Cabinet in December 2025.

Provisional Local Government Finance Settlement (PLGFS)

2.7 On 17 December 2025, MHCLG published the Provisional Local Government Finance Settlement for 2026/27 to 2028/29. The settlement set out allocations of Revenue Support Grant, business rates retention levels, council tax referendum limits, and grant funding.

Core Spending Power

2.8 The Government's figures indicate that total Core Spending Power (CSP[1]) for England's local government sector will rise by 5.7% in 2026/27; 4.3% in 2027/28 and 4.4% in 2028/29.

2.9 Core Spending Power in 2026/27 consists of:

- Income from council tax including assumptions that the tax base grows in line with the average annual growth in tax base between 2021/22 and 2025/26, and that councils increase council tax by the maximum possible allowable under council tax referendum principles.
- Revenue Support Grant (RSG) – government grant to support local authorities' general revenue spending and is designed to top up the funding councils receive from council tax and business rates.
- Baseline Funding Level (BFL) -The amount of business rates income the government assesses that a council needs and should receive under the business rates retention system.
- All rolled-in grants, i.e. previously separate grants that have already been consolidated into core funding.
- All of the newly consolidated Homelessness, Rough Sleeping and Domestic Abuse Grant.

2.10 CSP does not fully include all the newly consolidated grants with some of the new consolidated grants in the FFR being included in CSP, and some being outside of CSP.

2.11 The below consolidated grants sit within Core Spending Power:

- Children's Social Care Prevention Grant
- Supporting Families (rolled into Children, Families and Youth Grant)
- New funding for children's social care reform

2.12 The below consolidated grants do not sit within Core Spending Power:

- Children, Families and Youth Grant (overall)
- Holiday Activities and Food Programme
- Post-16 Pupil Premium Plus Programme -16 Pupil Premium Plus Programme
- Household Support Fund (within Crisis and Resilience Fund)
- Crisis and Resilience Fund (as a whole)

2.13 In 2026/27 the Local Authority Better Care Grant will be separate from RSG but is notionally included in RSG from 2027/28 onwards.

[1]Core Spending Power is the government's measure of the core revenue funding available to a council, combining council tax, locally retained business rates, and relevant grants allocated through the settlement.

Council Tax – impact of FFR

2.14 Under the FFR, the government have used a "notional" council tax, which is effectively an assumed (or notional) level of council tax. It has been used to assess each local authority's relative ability to raise income locally and is a standardised national figure, usually set at the average Band D council tax in England.

2.15 The notional council tax has been used in the resource allocation workings of the FFR and funding has been based on:

- A council's relative need, i.e. what it needs to deliver services; and
- Relative resources, which includes how much a council could raise through council tax if everyone charged the same "notional" council tax amount.

2.16 This means that the FFR assumes that:

- Councils with stronger tax bases – i.e. with more homes in Bands E upwards - should be able to raise more income locally and therefore receive less grant; and
- Those with lower than the "notional" council tax rate should also be able to raise more income locally and receive less grant.

2.17 As the council has a large tax base and has historically maintained one of the lowest council tax rates in London, we have a lower council tax yield per household than many authorities of a similar size.

2.18 As a result, the use of the notional council tax in the resource allocation of the FFR has had a detrimental impact on our funding which gives rise to two compounding risks:

- Lower Central Government Support - The FFR has deemed that Barnet should be able to raise more income locally due to its tax base size and low council tax rate compared to the "notional" level.
- Higher Local Tax Pressure Going Forward - future council tax rises must be larger and more frequent to maintain financial stability and keep pace with current and future demand pressures.

Council Tax – referendum principles

2.19 The Government announced the 'core' referendum principles will be maintained over the multi-year settlement, i.e. up to 3% general increase plus a 2% adult social care precept without a referendum.

2.20 It announced that it will consider local requests for council tax flexibility where a local authority is facing significant financial difficulty and views council tax increases as critical to managing financial risk.

2.21 In considering these requests the Government will consider a local authority's specific circumstances and will take account of an authority's Band D council tax level in relation to the average council tax levels. The Government will "not agree to requests for additional flexibilities from authorities where council taxpayers are already paying more than average". While Barnet does not fall within this category, we have not made a request for additional council tax flexibility.

Revenue Support Grant

2.22 The distribution of Revenue Support Grant (RSG) has changed in line with the outcomes of the Fair Funding Review.

2.23 The following grants have been consolidated into RSG and will be distributed using the new fair funding shares:

- Temporary Accommodation element of the former Homelessness Prevention Grant
- Social Care Grant

- Market Sustainability and Improvement Fund
- Employer National Insurance Contributions
- New Homes Bonus
- 2025/26 Funding floor
- Historic business rates grant compensation for under-indexation of tax rates; Green Plant and Machinery exemptions; and Small Business Rates Relief lost supplementary income
- Funds which were previously part of the Children and Families Grant: Supported Accommodation Reforms, Staying Put, Leaving Care Allowance uplift, Personal Advisors Extended Duty, and Virtual School Heads Extension for previously looked after children.
- Virtual School Heads for children with a social worker and children in kinship care
- Biodiversity Net Gain Planning Requirement
- Deprivation of Liberty Safeguards Funding
- Local Government Finance Data Review
- Enforcement of Location and Volume Price Promotions Restrictions
- Enforcement of Calorie Labelling Regulations
- Awaab's Law new burdens
- Social Housing new burdens grant

2.24 War Pensions Disregard and Social Care in Prisons grants will both sit within RSG but will maintain their existing distributions. Therefore, there will be no changes to these grants to reflect changes in pressures.

Consolidated Grants

2.25 Government has published the details of four consolidated grants as part of the provisional settlement.

1. Children, Families and Youth Grant.
   The new consolidated Children, Families and Youth Grant is a combination of both existing and newly announced funding as part of the funding simplification process. The five funding streams that have been rolled in are:
   - Children's Social Care Prevention Grant
   - Supporting Families (previously part of the Children and Families Grant in 2025/26)
   - Holiday Activities and Food Programme
   - Post-16 Pupil Premium Plus Programme
   - New funding for children's social care reform (from the Transformation Fund announced in the Spending Review and then increased in the Policy Statement).

   All these grants, except the Holiday Activities and Food Programme and the Post-16 Pupil Premium Plus Programme, will be included in CSP.

2. Homelessness, Rough Sleeping and Domestic Abuse Grant.
   This consolidated grant includes the following grants:
   - The prevention and relief and staffing element of the Homelessness Prevention Grant
   - Rough sleeping accommodation programme
   - Rough sleeping prevention and recovery grant
   - Domestic abuse safe accommodation support

   The domestic abuse component of the grant will be ringfenced for domestic abuse only. Allocations are based on the existing formulae. All the funding from this consolidated grant is included in CSP.

3. Crisis and Resilience Fund.
   The Government has announced that this consolidated grant will sit outside CSP and will include:
   - Households Support Fund

- Discretionary Housing Payment funding

4. Public Health Grant.
   Public Health Grant is to be combined with the related grants below:
   - Public Health Grant
   - Drug and Alcohol Treatment and Recovery Improvement Grant, including the Rough Sleeping Drug and Alcohol Treatment Grant
   - Individual Placement and Support Grant
   - Local Stop Smoking Services and Support Grant and Swap to Stop scheme

   The new consolidated Public Health Grant will continue to be funded by and administered by the Department of Health and Social Care (DHSC) and will be ringfenced. There will be service-specific ringfences for smoking cessation and drug and alcohol treatment funding. The Public Health Grant will not form part of Core Spending Power. Barnet has had historically low Public Health Grant allocations. In 2025/26, the London average per capita grant was £89.34 with Barnet being the third lowest at £50.23.

Extended Producer Responsibility

2.26 The Extended Producer Responsibility Grant for 2026/27 is part of an initiative that requires packaging producers to cover the full cost of managing household packaging waste. This includes costs for collection, sorting, recycling, and disposal. Extended Producer Responsibility payments are excluded from CSP and for 2026/27:
- Payments will be funded based on actual LA-submitted data.
- Local Authorities will need to comply with new data and payments system processes.
- Local Authorities will see funding levels influenced by recyclability-based fee modulation introduced in 2026/27.

2.27 The Department for Environment, Food & Rural Affairs (DEFRA) have advised that the council's anticipated total EPR for packaging payment for 26/27 will be £6.2m. This funding has been built into the MTFS and will contribute to the effectiveness of recycling services.

Remaining Funding

2.28 The Government held back £50 million per year of the multi-year settlement in contingency at the provisional settlement. This contingency was be allocated at the final settlement resulting in an additional £0.58m Housing Grant for Barnet.

2.29 Lobbying during the Summer on the Fair Funding Reform proposals resulted in deprivation measures being updated to include housing costs, the latest Revenue Outturn (RO) data being included in calculations, and the latest deprivation information being utilised. These have all had a positive impact on Barnet and resulted in a modest increase in grant funding.

2.30 The PLGFS statement is included in the background papers to this report.

Final Local Government Settlement (FLGFS)

2.31 The Final Local Government Settlement (FLGFS) was published on 9 February 2026 and is included in the background papers to this report.

2.32 The 2026/27 settlement sets out 3 years' worth of funding allocations, covering 2026/27 to 2028/29 but it should be noted that the settlement remains an annual event and figures for future years are subject to change until they are confirmed each year.

2.33 A summary of the changes between the provisional and final settlement is given below:

- Business rates pools – the treatment of pooling gains has changed in the final settlement. As a result, the RSG, Recovery Guarantee and funding floor allocations have changed for authorities in business rates pools.
  - The original approach for assigning extra business rates achieved through pooling was based on an assessment of levy liability for relevant authorities in the absence of a pool. This meant that the entire pooling gain was assigned to tariff authority members.
  - The revised approach allocates 50% of the pooling gain to top-up authorities within each pool, based on their relative size of the baseline funding level, while the remaining 50% is shared between tariff authorities in pools using the previous approach.
  - As a results, tariff authorities in pools see a reduction to their Fair Funding Allocations and top-up authorities in pools will receive the positive effect of this in their 2026/27 without any mitigation.
  - These changes have been made within Revenue Support Grant and, as Barnet is a top-up authority, this has resulted in a £1.480m increase in RSG compared to Provisional Settlement figures.
- The consolidated Homelessness, Rough Sleeping and Domestic Abuse Grant has been increased by £92 million by 2028/29 compared to 2025/26. Approximately 40% of the uplifted is aimed at Renters' Rights new burdens and the rest should be targeted at supported housing. For Barnet, this results in an additional £0.58m compared to the Provisional Settlement.

2.34 Other changes which did not impact Barnet are:

- Funding floor – changes to pooling arrangements and the treatment of the City of London have reduced the cost of the funding floor in all 3 years of the settlement. This reduction in funding floor cost has freed up funding which has been used to uplift the Recovery Grant.
- Recovery Grant uplift - over three years, a further £440 million of Recovery Grant has been allocated to those councils in receipt of it. The increase is £115m in 2026/27, £150m in 2027/28 and £175m in 2028/29.
- SEND deficits – the Government has committed to resolving 90% of local authorities' DSG High Needs deficits accrued to the end of 2025-26. All local authorities with a SEND deficit will be eligible to receive grant funding subject to submitting and securing the Department for Education's approval of a local SEND reform plan. From 2028/29, SEND spending will be covered by the overall government DEL budget, meaning local authorities are not expected to fund future SEND costs from general funds, once the Statutory Override ends at the end of 2027/28.
- Council tax – referendum limits have not been set for six authorities with the lowest council tax levels. In addition, MHCLG have agreed small additional flexibilities for seven councils in 2026/27.
- No changes to funding allocations for consolidated grants were announced but MHCLG have committed to publishing final allocations for consolidated grants by Friday 13 February.

2.35 The impacts of the Final Settlement have been built into the MTFS presented to Council. While the impacts have reduced the budget gap for 2026/27, the reduction has not been sufficient to close the gap for 2026/27 and future years. Given this, have been unable to reach a balanced budget position for 2026/27 without Exceptional Financial Support (EFS) from Government.

3 Medium Term Financial Strategy MTFS

3.1 The MTFS provides a way to plan resource allocation decisions by taking into account both current and future levels of resources. It allows adequate time to align wider organisational priorities with resource allocation decisions, and to test previous resource allocation decisions in the light of current financial performance.

3.2 In putting together the MTFS due regard has been given to the CIPFA Code of Financial Management (the 'CIPFA FM Code' published in 2019 and recommended for adoption by all councils from April 2021). This MTFS complies with the relevant sections of the Financial Management code.

MTFS

3.3 The change in assumptions have reduced the gap for 2026/27 to £79.3m.

MTFS Summary	2026/27	2027/28	2028/29	2029/30	2030/31
Resources vs. Expenditure	£m	£m	£m	£m	£m
Expenditure (before savings)	553.792	625.478	690.696	763.173	834.263
Resources	(465.075)	(497.950)	(526.626)	(548.217)	(571.376)
In-Year (Surplus)/Shortfall to Balanced Budget	88.717	127.528	164.070	214.956	262.887
In-Year Budget Gap before Savings	88.717	118.109	150.025	200.068	246.222
Efficiencies and Income Generation options proposed	(9.419)	(4.626)	(0.843)	(1.777)	(2.685)
(Surplus)/Shortfall to Balanced Budget	79.298	113.483	149.182	198.292	243.537
Contribution to/(from) reserves	0.000	0.000	0.000	0.000	0.000
(Surplus)/Shortfall after Reserves	79.298	113.483	149.182	198.292	243.537
Exceptional Financial Support (EFS)	(79.298)	0.000	0.000	0.000	0.000
(Surplus)/Shortfall after EFS	0.000	113.483	149.182	198.292	243.537

Key assumptions

3.4 The key assumptions included in the MTFS are:

Item	2026/27	2027/28	2028/29	2029/30	2030/31
Council Tax Increase	2.98%	2.98%	2.98%	2.98%	2.98%
Social Care Precept Increase	2.00%	2.00%	2.00%	2.00%	2.00%
Increase in CTax Base (No of Band D Equivalents)	879*	3,386	3,542	3,620	3,698
Expenditure Inflation	3.80%	4.00%	4.00%	4.00%	4.00%
Employee Pay Award	3.20%	3.20%	3.20%	3.20%	3.20%

*Revisions have been made to the council tax base numbers for 26/27 to reflect current Band D equivalent properties and reduced council tax collection rates

Pressures

3.5 The council has, over many years and alongside the whole local government sector, faced growing financial pressures. These have arisen from several key trends including:

- Rising quantity of demand for some statutory services, notably for older people and for adults and children with disabilities.
- Rising complexity of demand in some statutory services, notably for adults and children with disabilities.
- Rapidly rising external unit costs, especially in children's social care placements.
- Rising Temporary Accommodation (TA) pressures, driven by rising homelessness and escalating costs.

3.6 Officers have undertaken a thorough review of in-year 2025/26 pressures to identify which are expected to continue into future years as well as quantified new expected pressures that may materialise in 2026/27 and future years.

3.7 The most significant movement has been the increase in both demand and costs of providing social care services, addressing homelessness, and meeting the shortfall caused by housing benefit rates that have not

been updated since 2011, as well as the financing costs of EFS. Acknowledging and providing for this is vital to enable the Council to continue to provide services to the most vulnerable requiring extra support and to help both manage risk and prevent escalation of need.

- Adult Social Care (ASC) – ASC demand modelling follows an evidence-based approach which combines Office for National Statistics (ONS) population projections as well as Projecting Older People Population Information (POPPI) and Projecting Adult Needs and Service Information (PANSI) data, across all age groups to derive future demand and costs for the service up to 2030. The big pressure drivers for Communities, Adults & Health (CAH) are:
  - Demographic growth and increase in complexity,
  - Increased demand within Transitions (18-25) service,
  - Provider inflation (additional amount required over and above modelled in MTFS), and
  - Increased cost of providing community equipment following the collapse of the previous provider.

- Children's Social Care - Demand in Children's and Family Services (CFS) is forecast using a combination of:
  - Existing demand in the system, adjusted for prudent expectations of managing this down through strategies such as regular placement review panels
  - Expectations of new demand based on historical trends, adjusted for new drivers such as changes to Government welfare support and indices of deprivation

- Temporary Accommodation & Housing Benefit Subsidy Loss - The Barnet Group (TBG) have modelled future demand based upon a supply and demand model, with known and projected supply combined with known demand (e.g. re-generation decants) and expected future demand. This has been fed into the TBG TA costs model that translates that supply and demand into costs based upon current TA costs as well as factoring in expected inflation based upon recent and long-term trends.
  - Temporary Accommodation costs have seen an unprecedented increase over the last two years. The net cost of TA (i.e. TA costs less rental income) has increased due to demand and higher nightly paid emergency accommodation. Overall accommodation prices have increased so each renewal is at a higher rate.
  - Housing Benefit (HB) Subsidy - relates to the gap between what HB paid out and subsidy we are permitted to claim (90% of 2011 Local Housing Allowance (LHA) rates).

- Loss / reduction of CIL income:
  - Slowing of development across London is having an impact on CIL income forecast to be received.
  - Announcements by MHCLG designed to tackle the slowing of development including CIL relief are expected to further reduce future CIL income for the council.

- Food Waste Collection & North London Waste Authority Levy:
  - By March 2026 all councils in England must provide separate weekly food waste collections. Revenue funding allocations for this additional service have not yet been announced but there is a risk that funding will not be sufficient to cover costs. The estimated revenue costs of providing this service have been estimated at ~£3.1m per year and included in pressures. As funding has not yet been announced, no assumptions have been made on grant funding for this service.
  - The removal of food waste from residual waste is expected to have a favourable impact on levy costs payable to NLWA. The latest estimates from the NLWA have been factored into the 26/27 NLWA levy estimates in the MTFS.

- Other pressures:
  - EFS Financing costs for 2025/26 to 2030/31
  - Pensions: Employer Contribution and Deficit Recovery: removal of £6.4m which was included as part of the 2025/26 savings and income generation proposals but is no longer needed as per the triennial pension valuation. The employer consultation has indicated the employer contribution will be £6.4m lower than it was at the 2022 valuation.
  - Contingency: updated to allow for £5m general contingency; and an allowance for reduced savings delivery in keeping with historic delivery rate.
  - Concessionary Fares: updated for latest estimates.

3.8 This has resulted in non-inflationary demand pressures of £38.7m in 2026/27. Total pressures and growth included in the MTFS are shown below and further detail of the pressures submitted by services is provided in Appendix D.

Department	2026/27	2027/28	2028/29	2029/30	2030/31	TOTAL
Assurance and Public Protection	192	172	35	36	37	**472**
Children and Family Services	4,354	555	393	360	0	**5,661**
Communities, Adults and Health	8,422	9,482	10,633	11,794	12,376	**52,707**
Environment	3,015	995	0	0	0	**4,010**
Growth	1,087	375	85	153	(523)	**1,177**
Resources	850	0	0	0	0	**850**
Strategy & Innovation	187	0	0	0	0	**187**
Temporary Accommodation (incl. Housing Benefit Subsidy)	11,305	6,819	5,087	3,954	0	**27,165**
Exceptional Financial Support Financing	6,703	9,552	13,210	17,377	22,611	**69,453**
Sub-total	**36,115**	**27,949**	**29,442**	**33,674**	**34,501**	**161,681**
CIL substitutions (24/25)	2,579	2,453	0	0	0	**5,033**
Additional Pressures	**2,579**	**2,453**	**0**	**0**	**0**	**5,033**

TOTAL	**38,694**	**30,402**	**29,442**	**33,674**	**34,501**	**166,714**

Risks

3.9 Ideally we would provide for all risks that could materialise but doing so will further increase the budget gap and so, at this stage, officers are continuing to monitor the likelihood of the below risk happening and identifying mitigating actions that can be taken:

- Customer Support Group (CSG) Contract Renewal: The re-procurement of our IT/Revs & Bens and Customer Services contract that is due to end on 30th Sept 2026. All the services are currently provided by Capita but going forward there is likely to be a mixture of smaller contracts plus the potential of some services coming in-house. As the procurement is in progress we do not yet know what the exact cost implications might be.
- Adult Social Care Provider Inflation Risk: The Chancellor's Budget confirmed a 4.1% increase in the National Living Wage from April 2026. This may drive provider costs above Barnet's current 4.0% inflation assumption, as local provision is more closely aligned to London Living Wage pressures, creating a risk of cost escalation beyond forecast if provider settlements exceed national averages.
- S106 and CIL receipts:
  - The council's income from Community Infrastructure Levy (CIL) and Section 106 (S106) contributions is closely linked to the volume of planning applications, the granting of consents, and the commencement of development.
  - Multiple industry analyses indicate that London is entering one of its lowest levels of new housing supply in decades caused by very low levels of housing start-on-sites. We have seen this trend reflected in the borough with housing permissions granted by the Local Planning

Authority (LPA) showing a significant decline in Q3 of 2025/26 compared with the first two quarters of the year (falling from 1,841 to 1,634, and then sharply to 398).

- Although CIL and S106 receipts relate to historic consents, these revenues are also reducing, with S106 income more than halving between Q1 and Q3 (£3.2m to £1.007m). This combination of declining permissions and falling developer contributions represents a significant financial risk for the council.

- The council has received an equal pay claim from the GMB Union, which following the required submission of information from the claimant and the council, is due for further consideration at a scheduled preliminary hearing in May. The council has also received a collective grievance from UNISON. The council is engaging with UNISON on the grievance, although this matter is also with the Advisory, Conciliation and Arbitration Service (ACAS), but believed to be stayed as a result of the GMB Claim. The timings of this full process are unclear and differ from case to case (and council to council). It is also dependent on the speed at which engaged parties respond to items, how quickly information is provided, and the number of individuals within the joint claim which require validation and other works. As it stands, we are currently believed to be the sole council with an equal pay claim for our region's court. This risk has been highlighted to MHCLG in the council's application for EFS for 2026/27.
- No allowance has been made in the MTFS regarding investment required for new priorities an incoming administration may want to implement.
- There is a risk around changing regulatory requirements which may create an additional financial burden for the council. For example, we are awaiting further guidance from the regulator around the implementation of Martyn's Law (which is aimed at improving public safety in certain venues and large events). There are expected to be compliance costs for the council but, as the impact is not yet quantifiable, this may be a call on the contingency budget in 2026/27.

Savings

3.10 Departments have identified savings of £9.4m to help plug the gap for 2026/27 as shown below with further detail provided in Appendix E.

Department	2026/27	2027/28	2028/29	2029/30	2030/31	TOTAL
Assurance and Public protection	(57)	0	0	0	0	**(57)**
Children and Family Services	(1,475)	(1,151)	(468)	0	0	**(3,094)**
Communities, Adults and Health	(4,055)	(2,501)	226	(1,032)	(651)	**(8,013)**
Environment	(250)	(30)	0	0	0	**(280)**
Growth	(587)	(122)	(570)	(713)	(2,034)	**(4,026)**
Temporary Accommodation	(2,808)	(822)	(31)	(32)	0	**(3,693)**
Resources	0	0	0	0	0	**0**
Strategy & Innovation	(187)	0	0	0	0	**(187)**
TOTAL	**(9,419)**	**(4,626)**	**(843)**	**(1,777)**	**(2,685)**	**(19,350)**

3.11 The programme of savings and income generation proposals identified by departments have been fully recognised within the MTFS. There are potential delivery risks around savings which will be managed as plans progress.

Capital Bids

3.12 New additions to the capital programme are being limited to essential projects only and details are provided in Appendix I2. Services have put forward new capital proposals for 2026/27 onwards including identifying if the project fulfils:

- a statutory obligation;
- is required for Health & Safety reasons; or
- fulfils specific needs/demands of the community.

3.13 There are two major projects where further borrowing will be required: these are the Depot project and the SEN school project. The estimate for the Depot project is in the region of £176m and the estimate for the SEN school is in the region of £126m. Further work is required before adding these to the capital programme and therefore at this stage only grant monies or enabling works monies have been included in the programme.

3.14 Potential funding sources for other projects have been identified and, where borrowing is required, the financing costs (interest and Minimum Revenue Provision) have been built into the MTFS.

Fees and Charges

3.15 Revised fees and charges became effective from January 2026. Cabinet in October 2025 delegated the approval of the executive side fees and charges to the Cabinet Member for Finance & Effective Council once they had been subject to consultation and Equality impact assessment (EqIA). These have now been approved the revised fees and charges are attached at Appendix F1 and F2 for information. Due to a legislative change in the way that land charges are administered between local government and the land registry one line in the land charges fees and charges needs to be deleted this is shown on Appendix F2.

Contingency

3.16 As part of budget setting, the council takes steps to improve its risk management processes by setting aside an amount of contingency budget. The allocation of an amount to contingency is a step to mitigate financial risks which have not yet materialised and the MTFS provides £5m contingency in 2026/27. In addition, the MTFS makes an allowance for undeliverable savings at 15% in line with historic delivery rates.

3.17 The MTFS reflects a contingency budget for 2026/27 of £5.5m. However, there will be unspent contingency from 25/26 and one-off 25/26 in-year allocations which will carry forward in the contingency budget into 26/27, resulting in £16.5m expected to be available in 26/27:

Contingency Budget Breakdown:	£m
Contingency (standard annual amount)	5.000
Reducing savings delivery to 85% in keeping with historic delivery rate	1.531
Final Settlement Increased Homelessness Grant	0.581
PY unused Contingency b/f	2.315
PY contingency used to fund 25/26 overspend	4.800
PY one-off allocations	0.298
PY one-off allocation - Transformation (reduced to £2m for 26/27)	2.000
Total Contingency	**16.526**

Inflation Funding

3.18 Pay inflation of 3.2% has been assumed for 2026/27 and for future years.

3.19 The MTFS assumes non-pay inflation of 3.8% for 2026/27 with 4.0% assumed for future years. Inflation is a clear risk and the council will continue to review the latest data, both overall and in different sectors (e.g. social care provide costs, construction materials).

Exceptional Financial Support

3.20 The refreshed MTFS shows that despite an improvement to the council's funding settlement and savings of £9.4m having been identified for 2026/27, there remains an unfunded gap of £79.3m.

3.21 Since 2020, the government has provided a number of local authorities with support via the Exceptional Financial Support framework to manage financial pressures that they considered unmanageable. Support provided via this framework is usually in the form of a capitalisation direction which permits a local authority to meet revenue costs through capital resources.

3.22 In all cases, the government has set a clear expectation that the authorities continue to manage and mitigate their financial pressures, as well as respond effectively to the individual challenges they are facing and provide regular updates to the government on progress.

3.23 The support is provided on an exceptional basis, and on the condition that each local authority is subject to an external assurance review. Discussions are currently underway with MHCLG around the council's request for exceptional financial support and an external assurance review will take place as part of the EFS process.

3.24 The EFS allows the council a ceiling up to which we are able to borrow to fund revenue expenditure. Officers are considering options to reduce the amount of EFS required by reviewing the council's asset base to generate capital receipts from the sale of assets. These capital receipts could then be used to fund revenue spend in 2026/27 thereby reducing the amount of EFS required.

3.25 As shown above, the unfunded gap for 2026/27 is £79.3m. The council has made an EFS request for £79.6m which allows some headroom in the contingency budget for undeliverable savings in line with historic savings delivery.

3.26 It should be noted that there are interest and Minimum Revenue Provision implications of borrowing to support revenue expenditure and these have been included in capital financing pressures for 2026/27 to 2030/31.

Council Tax

3.27 The Council has the largest (billable) tax base in London, consistent with having the highest population of any London borough.

3.28 The budget for the overall level of council tax receipts is based on the expected number of bills raised and the amount of the charge. The number of bills raised is the assessed level of the council tax 'base'. Assessment of the council tax base has regard for:

- The total number of dwellings created from one year to the next;
- The number of dwellings which may be subject to council tax support; and
- The overall rate of collection (currently 97.37% over 4 years).

3.29 Taking those factors into account the historic tax base growth has been 1-2% per year. The budget for the current year (2025/26) assumed growth of 1.66%, with 1.66% also assumed for 2025/26. This position is kept under review during the year and current results indicate that these forecasts will be achieved.

3.30 The council has the flexibility to raise council tax by up to 2.99% before a referendum and apply a social care precept of up to 2.00% to fund pressures in adult social care. The MTFS assumes a 2.98% general increase and a 2.00% increase in Social Care precept.

3.31 Calculating the Council Tax base is an important step towards setting the basic amount of Council Tax. The detailed Council Tax base schedule is included in Appendix C. The Chief Finance Officer, under delegated powers, has determined the 2026/27 Council Tax base to be 159,296 (Band D equivalents), the calculations are show in the following table:

Band D Equivalents	2025/26 Band D Equivalents	2026/27 Band D Equivalents
Total Properties	**185,461**	**186,542**
Exemptions, disabled relief, discounts and premiums	(16,093)	(14,639)
Ministry of Defence Contributions	0	3
Council Tax Support Scheme Discount	(14,050)	(12,379)
Adjustments (projections):		
New properties	6,364	4,150
Exemptions (Students)	(32)	(78)
Non-collection @ 2.63%	(3,233)	(4,303)
Total Council Tax Base and Yield (£)	**158,417**	**159,296**

3.32 The provisional Greater London Authority (GLA) precept is £81,322,201 making the total estimated demand on the Collection Fund and Council Tax requirement £334,988,392.

Council Tax Requirement Summary	2025/26 Original	2025/26 Current	2026/27 Original
	£	£	£
Total Service Expenditure	**473,035,809**	**472,807,457**	**544,372,662**
Contribution to / (from) Specific Reserves	0	0	0
Exceptional Financial Support (EFS)	(55,726,709)	(55,726,709)	(79,298,009)
Net Expenditure	**417,309,100**	**417,080,748**	**465,074,653**
Other Grants	(94,799,188)	(94,570,836)	(66,210,795)
Budget Requirement	**322,509,912**	**322,509,912**	**398,863,858**
Business Rates Retention	(29,913,242)	(29,913,242)	(43,421,468)
Business rates top-up	(44,111,121)	(44,111,121)	(34,507,928)
Business Rates 8 authority pool income	(2,728,500)	(2,728,500)	0
Business Rates Income	**(76,752,863)**	**(76,752,863)**	**(77,929,396)**
Revenue Support Grant	(8,477,902)	(8,477,902)	(67,268,270)
Barnet's Element of Council Tax Requirement	**237,279,148**	**237,279,148**	**253,666,191**
Greater London Authority – Precept	77,684,528	77,684,528	81,322,201
Total Council Tax Requirement	**314,963,676**	**314,963,676**	**334,988,392**

Barnet's Council Tax Requirement	£253,666,191
Greater London Authority	£81,322,201
Total Requirement for Council Tax	**£334,988,392**

3.33 Should the proposed 2.98% increase in general council tax and the 2.00% increase in Social Care Precept be applied, the Council Tax for Barnet each category of dwelling will be:

Council Tax Band	Barnet (£)	GLA (£)	Total (£)
A	1,081.39	340.34	1,421.73
B	1,261.63	397.06	1,658.69
C	1,441.85	453.79	1,895.64
D	1,622.09	510.51	2,132.60
E	1,982.55	623.96	2,606.51
F	2,343.02	737.40	3,080.42
G	2,703.48	850.85	3,554.33
H	3,244.18	1,021.02	4,265.20

3.34 Components of the Band D Council Tax rate are shown below:

Components of Band D Council Tax Rate (£)	2025/26	2026/27
Mayor's Office for Policing and Crime	319.13	334.13

London Fire & Emergency Planning Authority and Mayor, Administration, Transport for London, Olympic Games and Boroughs' Collection Fund balances.	171.25	176.38
GLA Precept	**490.38**	**510.51**
London Borough of Barnet	**1,545.14**	**1,622.09**
Total Council Tax Rate (£) Band D Equivalent	**2,035.52**	**2,132.60**

3.35 The 26/27 MTFS includes £4.8m to fund a bought-forward deficit on the Collection Fund (i.e. the total deficit on both council tax and business rates). The deficit has occurred because the Council Tax and Business Rates actually collected in prior years has been less than the amount that we originally budgeted to collect.

3.36 From 2014/15 to 2022/23, a 4-year collection rate for council tax income of 98.50% was assumed. Since 2023/24, 98.00% has been assumed.

3.37 Following a review of the information provided by Capita, a number of issues were identified in the calculation of the 4-year collection rate. The below two had the largest impact on the rate. The 4-year calculation did not include:

- an adjustment to exclude credit balances (i.e. accounts which are in credit) or
- an adjustment to reflect payments made which were subsequently transferred out, e.g. to other years.

3.38 Both of these over-stated the 4-year collection rate. Capita have calculated that if they adjusted for the two items above, then, as at 31st March 2025, the 4-year collection rate for the years 2022/23 to 2025/26 inclusive would be 97.07%.

3.39 For the 2026/27 MTFS, Capita have calculated that there have been improvements in the collection rate since March 2025 and that a 4-year collection rate of 97.37% would be prudent and this has been assumed in the MTFS.

3.40 We are working with Capita to get the balances that are sitting on customer's accounts as credit balances written back onto customer's accounts. These are expected to have a beneficial impact on the Collection Fund but, due to accounting regulations around the Collection Fund, this is not expected to impact the fund until 2027/28.

Council Tax Support Scheme

3.41 A review of the Barnet Council Tax Support Scheme was undertaken, and it is recommended that there should be no fundamental change to the 2025/26 scheme currently in place. There are however changes required to reflect statutory amendments required by the Council Tax Reduction Schemes (Prescribed Requirements) (England) (Amendment) Regulations 2026. These changes relate to:

- Annual Uprating of Pension-Age Elements
- Income and Capital Disregards
- Amendments to Residency and Temporary Absence Rules

3.42 These changes align our scheme with similar provisions in wider welfare systems, ensuring continuity of support during exceptional circumstances.

The MTFS: 27/28 onwards

3.43 The MTFS presented at Appendix A shows that, with the help of EFS, the 2026/27 budget is balanced, but there remains a significant budget gap in future years.

3.44 It is important we have a long-term plan to balance the whole medium-term financial strategy. The approval of Exceptional Financial Support is not a long-term solution to the council's financial position and to return to a more financially sustainable footing, the council will need to continue to take steps to significantly reduce its projected revenue spend or find ways to generate additional income, or both.

3.45 Alongside in-year controls, savings delivery measures and capital measures, the Council is taking a more deliberate and structured approach to addressing the underlying drivers of demand and cost across the system.

3.46 This approach focuses on two areas:

- Prevention – identifying and tackling the root causes of demand in the Council's highest cost services, including using predictive analytics to better target resources, particularly where those drivers sit across services, partners and places rather than within a single team.
- Working smarter as an organisation – reducing avoidable demand and duplication across the system, and making better use of staff time, assets, data and technology.

3.47 The Council will prioritise a small number of the most significant cost drivers, informed by financial data, service insight and evaluation, and test where changes to policy, service models, ways of working or partnerships can reduce future demand and cost. Where activity is shown not to deliver impact, it will be stopped and resource redirected.

3.48 This work will require targeted use of staff time and capacity, including, where necessary, deprioritising lower-impact activity to focus on changes that improve long-term sustainability. Further detail on this approach is set out in Appendix N.

3.49 Exceptional Financial Support can provide short-term stability while these changes are developed and implemented. This approach is a core part of how the Council intends to move from reliance on EFS towards a sustainable position by March 2029.

3.50 Our Approach to Innovation builds on and replaces the Transformation Strategy that was approved in February 2023. It represents a shift in how we work and will be implemented with a view to accelerating the achievement of financial benefits from our extensive existing and emerging programmes of activity. The most significant of these are shown below with details of the associated workstreams. Officers and Members are:

- Continuing to explore opportunities identified by Peopletoo (our Improvement Partner) for reducing service demand, making savings, improving efficiency and increasing income generation;
- Continuing and expanding our cross-council transformation programme, including the work on digital, data and technology (DDaT) transformation (see below), and the transformation programmes in Adults and Children's Services;
- Developing a roadmap of Prevention activity - this work will enable us to strengthen and scale existing prevention activity by improving the evidence of impact, clarifying where investment delivers the greatest benefit, and linking this to the council's financial and digital planning, using horizon scanning to test our approach and identify where we can go further. To support this work, we will develop an ambitious and systematic approach to collecting, structuring and using data for predictive purposes;
- Developing a TA Reduction Plan, which sets out the council's approach to tackle rising homelessness and the escalating costs of temporary housing. The plan focuses on:
  - Managing Demand & Prevention including expanding early intervention schemes to prevent evictions; working with private landlords to keep families in their homes longer.

- Increasing Supply by securing delivery of 1,000 new council homes by 2026 and accelerating affordable housing through new builds, acquisitions, and partnerships.
- Maximising Income & Minimising Costs by addressing the Housing Benefit subsidy gap and lobbying for national reforms to reduce financial pressures.

- Developing a Barnet Blueprint (Target Operating Model) on how we work as an organisation, our design principles and the way we deliver services across the organisation and to our residents, ensuring that we optimise the benefits of our investment in the Oracle ERP system and have a clear, corporate view of how and where our resources are deployed.
- Exploring digital innovation in SEND (Special Educational Needs and Disabilities) planning and review to address rising demand and ensure the council is meeting its statutory obligations in the most time-effective way possible while, at the same time, enabling data-driven decision making and improved outcomes for young people.
- Exploring opportunities resulting from the re-procurement of Customer Services, IT and the Revenue & Benefits service when the contract with Capita (who currently provide these services) ends in September 2026.
- Undertaking an exercise to enable asset optimisation and moving to a Corporate Landlord Model whereby ownership and management of all property assets will sit within Growth, rather than being dispersed across service departments (see below)
- Undertaking a review of the senior management structure in Growth to identify possible efficiencies.
- Working with regional forums and professional networks including London Councils, the Association of Directors of Children's Services, the Association of Directors of Adult Social Services;
- Lobbying Government to secure a better outcome for Barnet's residents through the Fair Funding process;
- Ensuring our capital programme, funded by borrowing, is limited to things we have to do (i.e. Health and Safety, legislative changes, etc.) and are an invest-to-save proposal (i.e. housing acquisitions, etc.); and
- Reviewing spending controls across the council including:
  - Actively managing recruitment to all posts with exceptions approved by a panel of senior officers;
  - Reviewing all spend - particularly in relation to contract renewals; and
  - Having tighter controls on discretionary spend.

Strategic Asset Management Plan - Asset Optimisation

3.51 Officers are undertaking a comprehensive analysis of the council's estate to maximise value from the council's assets, either through more efficient usage, increased revenue, or capital receipts as a result of disposals. The object of the programme is to identify, evaluate, and approve asset disposals, ensuring that operational needs, challenges, and growth plans are all thoroughly considered.

3.52 The project aims to focus on community and economic regeneration priorities, ensure alignment with the MTFS and balance financial outcomes with long-term goals (e.g., service accessibility, regeneration).

3.53 As part of the project, officers are identifying underutilised/surplus assets for leasing, repurposing, or disposal. Options and feasibility studies are being conducted to assess value extraction opportunities to ensure operational effectiveness, financial return, and alignment with council objectives.

3.54 Any capital receipts generated from potential disposal opportunities will be assessed for reinvestment in community priorities, supporting net-zero targets and broader sustainability goals, or reducing EFS borrowing.

3.55 Officers are also undertaking a review of the categorisation of the council's surplus and investment assets[2] to ensure that a comprehensive and accurate list is available for review.

Digital, Data and technology (DDaT) Transformation

3.56 The Council is strengthening how digital, data and technology (DDaT) is used to support prevention, reduce avoidable demand and improve productivity. This work focuses on using insight and technology to change how systems operate whilst also automating and digitising existing processes.

3.57 Our DDaT activity aims to modernise the council's digital infrastructure to improve data- and insight-driven decision-making, earlier intervention and more effective use of staff and resources. This includes:

- Data and insight
  - using financial, service and resident data together to identify the main drivers of demand and cost.
  - strengthening benefits tracking and evaluation so learning informs decisions on scale, investment and stopping activity.
- Digital services and failure demand
  - improving digital access and self-service where this reduces repeat contact, or duplication.
  - redesigning processes across services where digital change can simplify journeys for residents and staff.
- Technology modernisation and resilience
  - modernising core systems where this supports integration, productivity and better decision making.
  - Maintaining strong cyber security and data governance to protect residents and the Council.
- Workforce enablement
  - providing staff with tools, data and skills that free up time for problem solving and preventative work.
- Innovation and partnerships
  - using technology selectively, including automation and AI where appropriate, to reduce cost or effort.
  - working with partners where solutions sit beyond an organisation.

3.58 This work is being delivered in line with the Council's wider innovation and prevention approach (see Appendix N). The DDaT team will work with services to prioritise activity with the greatest potential impact on demand and cost. Savings associated with these changes will be reflected in future years of the MTFS as benefits are realised. Savings associated with these programmes will be built into future years and reduce future budget gaps.

Reserves

3.59 The council holds reserves to deal with future pressures where the value or the timing of the pressure is uncertain, or where the funding can only be spent on specific objectives (e.g., grant funding). Reserves are divided into 'ringfenced' reserves, where the spending objective is known with some clarity, and 'committed' reserves, intended to mitigate the impact of wholly unforeseeable costs. The levels of reserves are set out under Section 25 of the Local Government Act and prudent levels are determined by the Chief Finance Officer (CFO). Ringfenced reserves are usually held by specific services, while committed reserves are held corporately. The council's reserves and balance policy is attached at Appendix L.

[2] surplus assets are assets not being used to deliver services, but do not fall under the definition of investment assets; Investment assets are not directly used to deliver services but earn income for the council or increase in value (thereby generating value for the council).

3.60 The use of reserves is not intended to replace savings or income generation opportunities as part of the MTFS. Reserves can only be used once and then they are gone. Any use of reserves to replace savings or income generation opportunities is a delaying action, storing up pressures into future years. This could be part of investing in transformational service delivery and is the ultimate last resort during budget setting when a gap cannot be bridged despite best efforts.

3.61 At the end of 2024/25, the council's earmarked reserves were £56.081m. Of this:

- £9m were CIL reserves to finance new infrastructure;
- £14m related to grants that have to be used for the purpose stated and otherwise could be clawed back; and
- £32m, whilst earmarked, (i.e. reserves set aside for a specific purpose or anticipated future expense) could all be re-purposed.

3.62 In addition, the council holds £15m of General Fund Reserves which are held to cover unforeseen expenses or cashflow issues and should only be used in exceptional circumstances. These General Fund Balances should not be used to cover the council's revenue pressures.

3.63 Across the medium term there will need to be a planned replenishment of reserves to a more sustainable financial position. This will mean making an annual contribution to reserves as part of the budget agreed in March each year. Once we achieve financial sustainability, building back reserves for the long-term will be a high priority for the council.

3.64 The table below shows the forecast of the council's reserves position over the MTFS period. This table assumes that the funding deficits in future years of the MTFS are resolved and that there is no call on reserves through an unbalanced budget or overspend in each of the years.

	Balance as at Mar-25	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30	Mar-31
	£000	£000	£000	£000	£000	£000	£000
Capital - Community Infrastructure Levy	9,413	180	0	0	0	0	0
Total Capital Reserves	**9,413**	**180**	**0**	**0**	**0**	**0**	**0**
Public Health	340	398	0	0	0	0	0
Dedicated Schools Grant	8,305	8,305	6,805	5,305	3,805	2,305	805
Special Parking Account	1,311	1,311	1,311	1,311	1,311	1,311	1,311
Earmarked Revenue Grants	4,410	4,421	4,421	4,421	4,421	4,421	4,421
Insurance	2,423	2,423	2,423	2,423	2,423	2,423	2,423
Council tax and NNDR smoothing	3,607	3,607	2,607	1,607	607	0	0
Ring-fenced service specific reserves	10,414	12,197	12,197	12,197	12,197	12,197	12,197
Total Ringfenced Reserves	**30,811**	**32,662**	**29,764**	**27,264**	**24,764**	**22,657**	**21,157**
Service Specific Revenue Reserves	4,284	4,289	4,289	4,289	4,289	4,289	4,289
Climate change	721	658	0	0	0	0	0
Residents Support Fund	1,434	1,333	333	0	0	0	0
Financial Resilience Reserve	9,419	11,322	11,322	11,322	11,322	11,322	11,322
Total Committed Reserves	**15,857**	**17,602**	**15,944**	**15,611**	**15,611**	**15,611**	**15,611**
Total Earmarked Reserves	**56,081**	**50,444**	**45,708**	**42,875**	**40,375**	**38,267**	**36,767**

3.65 The council maintains general balances of £15m and is not anticipating going below that over the MTFS. This is set out in the Reserves and Balances policy at Appendix L.

3.66 Although several of the reserves appear to maintain a steady balance (e.g. Earmarked Revenue Grants and Service Specific Revenue Reserves) there will be movements in and out throughout the year. The assumption is that income will offset expenditure in each year.

4 S25 Statement: View of Section 151 Officer

Introduction

4.1 In order to comply with Section 25(1) of the Local Government Act 2003, the Section 151 Officer (the Executive Director of Finance) is required to provide their professional opinion on:

1. the robustness of the estimates made for the purposes of the budget calculations; and
2. the adequacy of the Council's proposed reserves.

4.2 Section 25(2) of the same Act requires the authority to have regard to this report of the Section 151 officer when making decisions about the budget and the level of council tax.

4.3 This statement is provided to support Members in their consideration and approval of the 2026/27 Budget and Medium Term Financial Strategy (MTFS).

2025/26 Financial Position and Effectiveness of Budget Management

4.4 The council has robust arrangements in place for managing budgets and performance. Close attention is paid to increasing service and demand pressures, implementation of agreed savings and monitoring of the council's in-year financial position, with regular reporting to Cabinet and Overview & Scrutiny Committee.

4.5 The Q3 forecast for 2025/26 is a balanced position after the use of contingency. However, the council's 2025/26 budget was balanced on the basis of using £55.7m of Exceptional Financial Support. This means that while the council has been able to keep expenditure within approved budgets, there is a built-in deficit which needs to be addressed over the medium term.

4.6 Reserves balances were low going into 2025/26 and the total reserves balance, as at the end of 2025/26 is estimated to be £50.4m, with General Fund balances of £15m.

Robustness of estimates made for the purpose of the budget preparation and assurance from the Chief Finance Officer

4.7 Developing the budget estimates for a given financial year is an ongoing, iterative process within the medium-term financial planning cycle. This is a council-wide process involving all spending departments whereby estimates are worked up, challenged, and refined as further information becomes available. It considers the most recently available budget monitoring information and the latest assumptions for the forthcoming financial year. In particular, the proposed savings have been reviewed, challenged and signed off as deliverable by key stakeholders across the organisation. The thoroughness of this process is a source of assurance in determining that overall estimates in the budget are robust.

4.8 Budget estimates are exactly that – estimates of spending and income made at a point in time. This statement about the robustness of estimates cannot give a guaranteed assurance about the budget but instead gives Members reasonable assurances that the budget has been based on the best available information and assumptions.

4.9 The council has undertaken a robust process to produce its MTFS to address the changing financial landscape and on-going budget pressures. These processes are necessary to ensure all budget proposals are:

- aligned to Our Plan for Barnet;
- fully evaluated for any legal, HR equality and procurement issues;
- assessed thoroughly to ensure if stakeholder consultations are needed and if so to ensure these are completed in time; and
- appropriately challenged to ensure they are feasible.

4.10 The 2026/27 budget has been prepared following a comprehensive process of scrutiny, modelling, and challenge. This includes:

- Updated growth projections across all high demand services;-demand services
- Detailed review of growth bids, inflation assumptions, and unavoidable pressures;
- Assessment of the achievability and risk rating of all savings proposals; and
- Updated inflation assumptions

4.11 Despite this rigorous process, the 2026/27 budget carries some risk, including:

- Demand volatility – particularly in complex placements, SEND, and homelessness; and
- Market fragility – including capacity constraints especially in adult social care and children's residential care.
- The council has received an equal pay claim from the GMB Union, which following the required submission of information from the claimant and the council, is due for further consideration at a scheduled preliminary hearing in May. The council has also received a collective grievance from UNISON. The council is engaging with UNISON on the grievance, although this matter is also with the Advisory, Conciliation and Arbitration Service (ACAS), but likely to be stayed as a result of the GMB Claim. An equal pay claim presents both financial and reputational risks to local authorities. As the council is yet to receive full details of the claimants and their comparators, the council cannot yet determine a financial profile in relation to this. The council is receiving legal advice, is engaging with the Equal Pay network, and with other councils directly.

4.12 The financial planning process has been managed at Cabinet level with support from senior officers through the Cabinet and Council Management Team (CMT) meetings. This group has overseen the process for financial planning, including medium-term resource projections, the strategic context for the borough, and the quantification of new pressures on resources, and the identification of potential budget savings. Cabinet and CMT have considered regular budget updates, including analysis of on-going service and demand pressures. Additionally, Cabinet receives regularly refreshed Business Planning reports.

4.13 An overview of the process and progress to date is presented to Overview and Scrutiny (O&S) Committee and any recommendations from O&S are fed through the MTFS process. In addition, in-year monitoring reports are presented to O&S Committee for challenge and scrutiny.

4.14 Consultation has taken place in respect of the budget proposals in general, and also in respect of specific planned changes. Consultation feedback has been taken into consideration as final proposals to the council have been formulated.

4.15 On balance, I am satisfied that the estimates used in the 2026/27 budget are robust, subject to the continued delivery of the programme of prevention and transformation activity, including work on digital, data and technology (DDaT) transformation and active in-year management of pressures.-year management of pressures.

2026/27 Budget

4.16 Barnet's financial position entering 2026/27 remains extremely challenging. The Council continues to face:

- Escalating demand pressures, particularly within Children's Social Care, Adults' Social Care, SEND, and homelessness/temporary accommodation;
- Persistent inflation, particularly in care markets, utilities, and contractual services;
- Significant workforce pressures, including recruitment and retention challenges in statutory services;
- Structural budget gaps emerging from demand outstripping available resources;

- Limited opportunities for further efficiencies without material service impacts; and
- While Fair Funding 2.0 delivered small increases in the council's grant funding, these increases do not cover the projected cost of providing services.

4.17 Despite actions taken in previous years, the intensity and scale of these pressures have continued, and in some areas increased, into 2026/27.

4.18 The proposed budget reflects the outcome of the Government's Fair Funding Reforms and latest Government grants for 2026/27 as published in the Final Local Government Finance Settlement on 9th February 2026. It also allows for pay and non-pay inflation and best estimates of on-going service pressures.

4.19 Allowance for these pressures has resulted in a significant budget gap of £79.3m for 2026/27. Savings and Income generation proposals of £9.4m have been identified to help plug this gap but nevertheless, there remains a gap.

4.20 As a result, the council has applied for EFS and has received confirmation from MHCLG that they are minded to approve our application for Exceptional Financial Support (EFS) for 2026/27. This Exceptional Financial Support takes the form of approval from the government that the council is able to, in the short term, either identify assets for disposal, use capital receipts or, as a last resort, borrow to support revenue expenditure.

4.21 The Executive Director of Growth, in discussion with CMT and members, has kicked off a Strategic Asset Management Plan in order to review the council's asset base to generate capital receipts from the sale of assets. These capital receipts could then be used to fund revenue spend in 2026/27 thereby reducing the amount of borrowing required for EFS.

4.22 Exceptional Financial Support is not a long-term solution and therefore the Section 151 Officer recommends that this step is taken only as a last resort and all actions should be taken to reduce the need for EFS both now and in the future as it does not address structural funding issues.

Future Years

4.23 Barnet's financial position is challenging as set out in this report. Although the council legally only has to set a one-year budget for the year ahead, it is important that we continue to have a strong focus on medium term planning and setting multi-year budgets. The PLGFS gave details of 3-year local government funding settlements from 2026/27, it is possible additional grants are available in subsequent years but for now, it shows that the council has a significant hill to climb in order to get back to financial sustainability.

4.24 The S151 Officer can confirm that the council is taking measures to ensure that its future financial sustainability is viable by investing in prevention, housing and digital and data transformation, reducing costs in demand led services like social care and homelessness and working alongside neighbouring boroughs and London Councils to ensure best practice is being adopted.

Exceptional Financial Support (EFS)

4.25 The council is able to set a balanced budget for 2026/27, but only with additional EFS from MHCLG. This reflects the ongoing fragility of the Council's financial position.

4.26 An application was submitted to MHCLG for EFS and confirmation that MHCLG are minded to approve our application has been received. This means that the council has a Capitalisation Direction which gives permission to fund day to day running costs of up to £79.6m through the capital programme.

4.27 If the Council has to borrow, this has revenue implications in the form of interest payments and Minimum Revenue Provision which must be put aside for the future repayment of any loan undertaken. These revenue impacts have been built into the MTFS.

4.28 Receipt of EFS is a clear indication that the Council's underlying financial position is not sustainable without Government intervention. While EFS provides temporary flexibility—primarily through capitalisation, it does not address the fundamental drivers of the budget gap.

4.29 EFS should be regarded as intended to provide an "interim measure" whilst the Council develops its longer-term financial strategy and wider national and regional policy issues are addressed. Reliance on EFS is not a financially sustainable strategy.

Adequacy of the Council's proposed reserves

Robustness of Balances and Reserves

4.30 The council is required to maintain an adequate level of reserves to deal with unexpected events and pressures. Sections 31 (A) and 42 (A) of the Local Government Finance Act 1992 requires the council to have regard to the level of reserves when calculating the budget requirement.

4.31 The appropriate level of reserves must be considered alongside an assessment of risk, taking into account the robustness of savings plans, levels of risk in estimates in demand and price and wider economic factors. The adequacy of reserves is assessed as part of the budget process and monitored regularly through the year to the closure of accounts at the end of the year.

4.32 The longer-term sustainability of the council relies on the need to avoid reliance on reserves in the future and to have a longer-term plan to replenish reserves available for managing risks and uncertainties. Across the medium term there will need to be a planned replenishment of reserves to get reserves to a more sustainable financial position but this will have to happen after the council is no longer in EFS.

4.33 It is the recommendation of the Section 151 Officer that the General Fund reserve should not be reduced below the current targeted level of £15m and that as soon as practically possible (i.e. when the council is financially sustainable) that there is a planned reserves contribution to increase them to a minimum of £40m.

Section 25 Statutory Assurance

4.34 In accordance with Section 25 of the Local Government Act 2003, I provide Members with the following assurances:

Robustness of Budget Estimates

4.35 I am satisfied that the budget for 2026/27 has been prepared on a sound and reasonable basis, with appropriate professional judgement applied. However, the level of inherent risk remains high, and the budget requires:

- Strong in-year financial management;
- Immediate corrective action where pressures emerge;
- On-going delivery of the Transformation Programme; and
- Close monitoring of savings and demand trends.

Adequacy of Reserves

4.36 In my professional opinion, the council's reserves position remains unsustainably low and continues to pose a risk to the council's resilience.

- General Fund balances remain at the statutory minimum level and offer little capacity to absorb financial shocks;
- Earmarked reserves have been drawn down over multiple years and do not provide sufficient contingency for high-risk, demand-led services; and
- The current level of reserves is not adequate to absorb further unplanned financial shocks.

4.37 Rebuilding reserves must be treated as a critical strategic priority once the council has achieved financial sustainability.

Overall Conclusion

4.38 Although it is impossible to give absolute assurance, on the basis of the risks and issues set out in this report, given that MHCLG are minded to approve our application for EFS, it is my opinion as Section 151 Officer that the budget should progress for approval on the basis that:

- Known risks have been identified;
- The estimates are robust within the confines of the risks noted in this report;
- Known spending pressures of £38.7m have been built into service budgets based on the latest estimates of current and future demand and prices;
- Corporate contingency allows for under-delivery of savings in line with historic delivery rates;
- The level of General Fund Reserve is maintained at £15m which the Section 151 considers is a prudent level in recognising the specific risks, although this is reliant on earmarked reserves being replenished up to at least the Council approved level of £40m as soon as possible;
- The budget reductions of £9.4m for 2026/27 which have been subject to due diligence to ensure some certainty on the delivery of change to deliver the reductions and increased income during 2026/27. Progress will be monitored and reported monthly internally and quarterly to Cabinet and O&S Committee; and
- Work on developing longer term financial sustainability will continue and updates on the financial position will be presented to Cabinet during 2026/27.

4.39 The Section 151 Officer therefore concludes:

- In setting the 2026/27 expenditure and income estimates, account has been taken of the in-year pressures, key financial assumptions underpinning the budget and expected future pressures;
- I consider current levels of unallocated reserves for managing risks and uncertainties to be too low but replenishment of reserves in future years must be a priority for the council;
- Financial plans assume that over the planning period the council is forecast to maintain a target General Fund reserve of £15m; and
- With EFS from Government, the council has, short term, arrangements to fulfil its statutory duties.

4.40 The 2026/27 budget can be endorsed by Members only alongside a clear recognition of the risks, and with a firm commitment to the actions required to restore long-term sustainability.

5 HRA Balances and Business Plan

5.1 The council projects the HRA position over a 30-year period, considering changes in stock, capital programme requirements, and anticipated policy changes.

5.2 A summary of the proposed updated HRA forecast for 2025/26 and Capital Programme are included in Appendix K.

5.3 Over the last few years, the HRA has seen various adverse factors affecting the financial viability and sustainability of the Business Plan.

- Additional legislation regarding fire safety in buildings over 11 metres, has meant additional costs per annum of between £2-5m per annum.
- Increased responsibilities around damp and mould have increased expenditure by over £2m per annum.
- Interest rate levels have increased significantly and certainty around the PWLB discount cannot be guaranteed indefinitely.
- The rent cap for 2023/24 and sub-CPI increases for 4 years between 2016 and 2020. This has reduced revenues by £6.2m per annum. The effect of this will be somewhat alleviated by the application of rent convergence.
- As legislation currently stands, the changes to National Insurance will impact on Barnet Homes (the service provider) and these costs (£600k) add pressure to the HRA. This extra cost is still substantially less than the £3m+ additional costs of transferring the services 'in-house' as identified in the paper to Cabinet in June 2024. It is possible that Barnet Homes could become an entity where the NI changes are refunded but that is not assumed.

5.4 The business plan is viable for years 1 & 2 with embedded savings of £2.7m. From year 3 onwards, an additional £4m of savings would need to be identified. Barnet Homes is reviewing options on how this can be achieved without jeopardizing any legal or regulatory requirements.

5.5 The business plan has limited capacity to absorb additional pressure, where possible provisions for new burdens such as Awaab's Law requirements have been embedded, however future legislative changes such as a new set of standards for 'Decent Homes' may require separate funding sources.

5.6 Rent increases for 2026/27 have been confirmed as up to 4.8% (this is as per the separate paper). The business plan has assumed an uplift of CPI+1% uplift in rental charges plus an additional £1 per unit per week in 2027/28 for relevant properties, increasing to an additional £2 per unit per week for relevant properties from 2028/29 as recently announced by central Government.

5.7 Work between the council and Barnet Homes will continue to try and achieve further HRA cost savings and to lobby Government directly and via other London Boroughs and external parties to identify opportunities to raise the issues of financial strain on HRAs.

6 Capital Programme

Capital Programme 2025/26-2030/31

6.1 The council has a significant capital programme across both the General Fund and the Housing Revenue Account (HRA). Capital projects are considered within the council's overall medium to long term priorities, and the preparation of the capital programme is an integral part of the financial planning process. This includes taking account of the revenue implications of the projects in the revenue budget setting process.

6.2 The Capital Programme, incorporating changes approved at November 2025 Cabinet, the 2025/26 quarter 3 position, and subsequent additions and deletions, is reflected below:

Capital program changes since November 2025 Cabinet

Budget Movement Type	2025-26 Budget	2026-27 Budget	2027-28 Budget	2028-29 Budget	2029-30 Budget	2030-31 Budget	Total Budget
	£000	£000	£000	£000	£000	£000	£000
Reported Capital Budget - November 2025	**316,663**	**241,351**	**112,969**	**76,060**	**53,017**	**0**	**800,061**
Slippage/Acceleration	(16,733)	7,812	2,575	(7,998)	11,562	2,783	0
Transfer	(0)	0	0	0	0	0	(0)

Additions	13,105	48,256	55,971	45,099	55,717	39,612	257,761
Deletions	(1,760)	(11,013)	(670)	(7,560)	0	0	(21,003)
Reported Capital Budget - February 2026 Revised Programme	**311,275**	**286,407**	**170,846**	**105,601**	**120,295**	**42,395**	**1,036,818**

6.3 The summary of the revised capital programme for Cabinet approval broken down by Portfolio is as follows:

Summary of Proposed Capital Programme

Portfolio	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	Total
	£000	£000	£000	£000	£000	£000	£000
Adults and Social Care and Health	5,528	5,198	5,450	2,565	1,565	0	20,305
Community Safety, Community Cohesion and Ending Violence Against Women & Girls	580	706	0	0	0	0	1,286
Culture, Leisure, Arts and Sports	551	2,761	15,935	14,354	5,348	200	39,148
Environment and Climate Change	31,355	43,549	34,849	20,739	16,180	2,992	149,664
Family Friendly Barnet	13,348	24,995	0	0	0	0	38,343
Finance and Effective Council	62,240	7,356	660	238	14,800	0	85,294
Homes and Regeneration	74,408	80,401	7,909	1,120	973	0	164,811
Homes and Regeneration (Brent Cross)	46,374	23,575	21,531	0	0	0	91,480
Total - General Fund	**234,383**	**188,541**	**86,334**	**39,016**	**38,865**	**3,192**	**590,331**
Housing Revenue Account	76,892	97,866	84,512	66,585	81,430	39,203	446,487
Total - All Services	**311,275**	**286,407**	**170,845**	**105,601**	**120,295**	**42,395**	**1,036,818**

6.4 A more detailed breakdown of the capital programme is shown in Appendix I2 to this report.

Slippage/Acceleration

6.5 The net slippage/accelerated spend reported at quarter 3 was £16.733m, with £28.608m being slipped to future years and £11.875m being accelerated.

6.6 Throughout the financial year any capital financing adjustments will be presented to Cabinet with adjustments undertaken by the Chief Financial Officer at year end, in accordance with financial regulations.

6.7 The breakdown of net slippage and accelerated spend by Cabinet is shown below:

Summary of Net Slippage

Cabinet	Net Slippage	Net Acceleration	Net Slippage/Acceleration
	£000	£000	£000
Adults and Social Care and Health	0	0	0
Community Safety, Community Cohesion and Ending Violence Against Women & Girls	0	0	0
Culture, Leisure, Arts and Sports	0	0	0
Environment and Climate Change	(7,044)	0	(7,044)
Family Friendly Barnet	(64)	0	(64)
Finance and Effective Council	(773)	240	(533)
Homes and Regeneration	(6,488)	650	(5,838)
Homes and Regeneration (Brent Cross)	(10,154)	7,487	(2,667)
Total - General Fund	**(24,523)**	**8,377**	**(16,146)**
Housing Revenue Account	(4,085)	3,497	(587)
Total - All Services	**(28,608)**	**11,875**	**(16,733)**

6.8 As the council progresses through the financial year, estimates of slippage, and accelerated spend will become more accurate. As such, any capital financing adjustments will be presented to Cabinet with outturn adjustments undertaken by the Chief Financial Officer at year end, in accordance with financial regulations.

Additions

6.9 Additions to the capital programme are shown below:

- Brent Cross West Station (£0.675m) for the Network Rail settlement; fully recoverable.
- Chase Homes (£15.253m) for the acquisition of 38 affordable homes from Chase Homes.
- Colindale – Highways and Transport (£0.192m) in line with funding agreed with TFL.
- Colindale Station Works (£0.264m) for final contributions towards the delivery of Colindale Station.
- Copthall Masterplan (£0.250m) to support the delivery of infrastructure required to enable transport improvements.
- Cremator Replacement (£1.200m) addition to future year to contribute towards the replacement of cremators.
- Development Investment Partnership (£0.320m) to maintain levels of funding required for the current year programme of works.
- Disabled Facilities Grants Programme (£6.512m) to continue funding specific elements of the programme in the event of the anticipated loss of funding from 2026/27 onwards, as well as additional funding awarded in 2025/26.
- EV pavement channels (£0.135m) in line with funding awarded for the provision of electric vehicle pavement channels.
- Finchley Leisure Centre (GNLP) (£37.002m) for the replacement Facility of the existing Finchley Lido Leisure Centre.
- Fleet Programme (£26.845m) for the replacement of the Streetscene Fleet.
- Green spaces development project (£0.153m) contributions towards playground and park upgrades.
- Housing Acquisitions Open Door (£5.090m) to support the purchase of additional affordable homes.
- HRA Acquisitions Phase 3 - Programme 2 (£0.818m) to support the purchase of additional affordable homes.
- IT Modernisation & Digital (£2.629m) towards initiatives to refresh devices, modernise connectivity, strengthen cyber security, and build digital and AI capabilities.
- Libraries Capital Programme (£1.537m) various projects across libraries to upgrade facilities, improve access during self-service hours and replacement CCTV.
- Milespit Cemetery Works (£3.900m) to deliver permanent infrastructure to the existing cemetery to minimise loss of future income.
- Oakleigh SEN (£0.272m) contributions towards the Oakleigh SEN build.
- Regional Park (£0.325m) to support the delivery of a Regional Park.
- Roads, Drainage & Pavements (£2.497m) to allow for inflation over the next 4 years.
- SEN (£3.951m) contributions received towards SEN provisions.
- Upper and Lower Fosters (£7.850m) to contribute towards the completion of the Upper and Lower Fosters infill scheme in Hendon, split between the general fund and HRA.
- HRA Additions & Deletions in line with HRA 30-year business plan - The HRA Capital programme has been updated to reflect the next 5 years to 2030/31 of the revised 30-year HRA Business plan. The forecast for HRA developments has been updated to show the latest delivery requirements in terms of cost, profiling and forecast funding.

Deletions

6.10 There has been a total of £8.868m deleted across the general fund capital programme. This is following month 9 forecasting and other approved reductions.

Financing of the Capital Programme

6.11 The funding for the capital programme is set out below:

Financing of the Proposed Capital Programme

Portfolio	Grants	S106	Capital Receipts	RCCO/ MRA	CIL	Borrowing (PWLB)	Total
Adults and Social Care and Health	10,297	0	0	0	4,000	6,008	20,305
Community Safety, Community Cohesion and Ending Violence Against Women & Girls	0	0	0	0	1,286	0	1,286
Culture, Leisure, Arts and Sports	192	90	29,038	0	0	9,828	39,148
Environment and Climate Change	13,407	4,660	242	0	7,311	124,044	149,664
Family Friendly Barnet	37,533	0	0	0	144	665	38,343
Finance and Effective Council	55	0	1,165	0	0	84,075	85,294
Homes and Regeneration	27,508	3,551	21,218	0	6,440	106,095	164,811
Homes and Regeneration (Brent Cross)	20,816	30	20,417	868	0	49,350	91,480
Total - General Fund	**109,807**	**8,332**	**72,079**	**868**	**19,181**	**380,065**	**590,331**
Housing Revenue Account	55,320	2,760	40,547	83,291	0	264,570	446,487
Total - All Services	**165,128**	**11,092**	**112,626**	**84,158**	**19,181**	**644,634**	**1,036,818**

Borrowing

6.12 £644.634m of the total capital programme will be funded from borrowing, of which £90.625m is on-lent to Opendoor Homes for the acquisition or delivery of new housing.

6.13 Borrowing is typically Public Works Loan Board loans to support capital expenditure; this type of capital funding has revenue implications (i.e. interest and provision to pay back loan).

Capital Receipts

6.14 The council has previously highlighted a risk in the level of capital receipts that it currently holds or forecasts to receive. Capital Receipts are proceeds of capital sales (land, buildings, etc.) and are re-invested into purchasing other capital assets.

6.15 £112.626m of the above capital programme is planned to be funded by capital receipts. Of the £112.626m, £40.547m will be funded from HRA capital receipt (RTB Receipts) and £72.079m from General Fund Receipts.

6.16 Current receipts are standing at £55.405m with £39.897m being HRA receipts and the remaining £15.508m General Fund receipts. The current disposal programme estimates General Fund disposals of £0.609m in 25/26 and £11.300m in 26/27.

6.17 Assuming no further General Fund disposals there could be a shortfall of capital receipts in future years which would be replaced by borrowing and result in additional interest and MRP costs.

6.18 HRA funding will also finance Open Door New Build and Housing Acquisitions (£17.760m) which is shown in the above table under the Homes and Regeneration Portfolio. Current HRA capital receipt balances plus future estimates suggest that there will be enough HRA capital receipts to fund the relevant projects.

Capital Grants & Contributions

6.19 The current capital programme shows £165.128m will be funded from Capital Grants. S106 and CIL are standing at £11.092m and £19.181m, respectively.

6.20 Capital grants are mainly received from central government departments (such as the Brent Cross grant from MHCLG) or other partners or funding agencies (such Transport for London, Education Funding Authority).

6.21 S106 contributions are a developer contribution towards infrastructure; confined to specific areas and to be used within specific timeframes.

6.22 Community Infrastructure Levy (CIL) funds are developer contribution towards infrastructure; they can be used borough wide but still have time restrictions on use.

6.23 Current capital programme forecasts plus future estimates suggest that there will be enough S106 contributions to fund the relevant projects.

7 Post Decision Implementation

7.1 Following approval of these recommendations, the authority's Council Tax will be set, and residents will receive their Council Tax bills over the next few weeks.

7.2 Subject to Council approval of the savings and income generation proposals, council services will implement plans to deliver these proposals and continue work to identify ways to improve the long term financial sustainability of the council.

7.3 Following approval of the recommendations in this report, budget changes will be processed in the financial accounting system and reflected against service areas to reflect updated budget allocations.

8 Corporate Priorities, Performance and Other Considerations

Corporate Plan

8.1 The budget supports the council's corporate priorities as expressed through Our Plan for Barnet 2023-2026 which sets out our vision and strategy for the borough. This includes the outcomes we want to achieve for the borough, the priorities we will focus limited resources on and, our approach for how we will deliver this.

Corporate Performance / Outcome Measures

8.2 The council uses the Delivery and Outcomes Framework (DOF) to monitor progress against its Corporate Plan (Our Plan for Barnet 2023–2026). The framework aligns strategic priorities with measurable indicators across three pillars:

- Caring for People
- Our Places
- The Planet

8.3 Each priority has Key Performance Indicators (KPIs) and Outcome Indicators with:

- Baseline data (usually from 2022–23)
- Targets for each financial year
- Direction of Travel analysis (improved, same, worsened).

Sustainability

8.4 None that are directly applicable to this report, however the council's budget includes funding for our sustainability programme.

Corporate Parenting

8.5 In line with Children and Social Work Act 2017, the council has a duty to consider Corporate Parenting Principles in decision-making across the council. The outcomes and priorities in Our Plan for Barnet 2023-2026, reflect the council's commitment to the Corporate Parenting duty to ensure the most vulnerable are protected and the needs of children are considered in everything that the council does. To this end, great attention has been paid to the needs of children in care and care leavers when approaching business planning, to ensure decisions are made through the lens of what a reasonable parent would do for their own child.

8.6 Council, in setting its budget, considers the Corporate Parenting Principles both in terms of savings and investment proposals. This includes giving up to 100% Council Tax discount for care leavers living in Barnet up to their 25th birthday.

Risk Management

8.7 The council has taken steps to improve its risk management processes by integrating the management of financial and other risks facing the organisation. The allocation of an amount to contingency is a step to mitigate the pressures that had yet to be quantified during the budget setting process.

8.8 The allocation of budgets from contingency seeks to mitigate financial risks which have materialised.

Insight

8.9 The council uses insight data and analytics in its budget-setting process to ensure decisions are evidence-based, targeted, and aligned with strategic priorities. Significant progress has been made this year and Barnet's data-driven approach combines data from multiple sources (e.g. internal systems, published population data, and Office of Budget Responsibility on CPI inflation) as a basis for future estimates and models of budget spend.

8.10 Details of the forecasting methodologies were attached at Appendix D to the budget report presented to Cabinet in December 2025. They demonstrate how insight data underpins the MTFS by:

- Identifying service pressures and income generation opportunities.
- Supporting long-term forecasting (up to 2030) for savings targets and funding gaps.

Social Value

8.11 None that are applicable to this report, however the council has embedded social value into its financial planning and procurement processes as part of its broader strategy to reduce poverty, build community wealth, and deliver sustainable outcomes. It takes account of the Public Services (Social Value) Act 2012, which requires councils to look beyond price and consider community well-being in commissioning and procurement.

9 Resources (Finance & Value for Money, Procurement, Staffing, IT, Property, Sustainability)

9.1 The report considers strategic financial matters and refreshes the current position of the council's MTFS. Plans will be enacted to work and identify savings and ensure they go through the appropriate governance process to set a legal budget in March 2026.

9.2 The proposed changes to the capital programme will have an impact on the cost of borrowing and therefore support the council's revenue budget.

10 Legal and Constitutional References

10.1 Section 151 of the Local Government Act 1972 states that: "without prejudice to section 111, every local authority shall make arrangements for the proper administration of their financial affairs and shall secure that one of their officers has responsibility for the administration of those affairs". Section 111 of the Local Government Act 1972, relates to the subsidiary powers of local authorities.

10.2 Under Section 114 of the Local Government Finance Act 1988, the Chief Finance Officer (S151 Officer) of a relevant authority shall make a report under this section if it appears to them that the expenditure of the authority incurred (including expenditure it proposes to incur) in a financial year is likely to exceed the resources (including sums borrowed) available to it to meet that expenditure.

10.3 Part 2 D of the Council's Constitution sets out the Terms of Reference and Delegation of Duties to the Cabinet which include:

- To be responsible for:
  - Development of proposals for the budget (including the capital and revenue budgets, the fixing of the Council Tax Base, and the level of Council Tax) and the financial strategy for the Council;
  - Monitoring the implementation of the budget and financial strategy;
  - Recommending major new policies (and amendments to existing policies) to the Council for approval as part of the council's Policy Framework and implementing those approved by Council;
  - Approving policies that are not part of the policy framework;
  - Management of the council's Capital Programme;

- All key decisions - namely:
  - an executive decision which is likely to result in the council incurring expenditure which is, or the making of savings which are, significant having regard to the budget for the service or function to which the decision relates; or
  - an executive decision which is likely to be significant in terms of its effects on communities living or working in an area of two or more wards of the Borough;
  - a decision is significant for the purposes of above if it involves expenditure or the making of savings of an amount in excess of £1m for capital expenditure or £500,000 for revenue expenditure or, where expenditure or savings are less than the amounts specified above, they constitute more than 50% of the budget attributable to the service in question;
  - award of contracts over £500,000 and all matters reserved to the Executive under the Contract Procedure Rules this may be done via the Procurement Forward Plan;
  - virements between budgets as required by the Financial Regulations;
  - making all non-key decisions which are referred to the Executive by the relevant Portfolio Holder or Director;
  - Determination of recommendations and references from the Council or any of its Committees or sub-committees and which the Cabinet considers are appropriate for collective decision;
  - Approval of HRA Rents.

10.4 The council's financial regulations state that amendments to the revenue budget can only be made with approval as per the scheme of virement table below:

Virements for allocation from contingency for amounts up to and including £250,000 must be approved by the Chief Finance Officer.

Virements for allocation from contingency for amounts over £250,000 must be approved by Cabinet.
Virements within a service in a Directorate that do not alter the approved bottom line are approved by the Service Director of that Directorate.
Virements between services within the same Directorate (excluding contingency allocations) must be approved by the relevant Chief Officer of that Directorate.
Virements between different Directorates (excluding contingency allocations) up to £50,000 must be approved by the relevant Chief Officers of both Directorates.
Virements between different Directorates (excluding contingency allocations) over £50,000 and up to and including £499,999 must be approved by the relevant Chief Officer(s) and Chief Finance Officer in consultation with the Leader and reported to the next meeting of Cabinet
Virements between different Directorates (excluding contingency allocations) over £500,000 and up to £25m must be approved by Cabinet.

10.5 Article 2a of the council's constitution sets out the role of Full Council as "approving or adopting the policy framework and the budget, including setting council tax, determining borrowing limits, approval of the capital programme". Council will set the budget and Cabinet will work within that set budget subject to the rules on virements contained in the Financial Regulations.

11 Consulting and Engagement

11.1 As a matter of public law, the duty to consult on proposals to vary, reduce or withdraw services will arise in four circumstances:

- where there is a statutory requirement in the relevant legislative framework;
- where the practice has been to consult, or, where a policy document states the council will consult, then the council must comply with its own practice or policy;
- exceptionally, where the matter is so important that there is a legitimate expectation of consultation;
- where consultation is required to complete an equalities impact assessment.

11.2 Consultation is also recommended in other circumstances, for example to identify the impact of proposals or to assist with complying with the council's equalities duties.

11.3 Regardless of whether the council has a duty to consult, if it chooses to consult, such consultation must be carried out fairly. In general, a consultation can only be considered as proper consultation if:

- Comments are genuinely invited at the formative stage;
- The consultation documents include sufficient reasons for the proposal to allow those being consulted to be properly informed and to give an informed response;
- There is adequate time given to the consultees to consider the proposals;
- There is a mechanism for feeding back the comments and those comments are considered by the decision-maker / decision-making body when making a final decision;
- The degree of specificity with which, in fairness, the public authority should conduct its consultation exercise may be influenced by the identity of those whom it is consulting;
- Where relevant and appropriate, the consultation is clear on the reasons why and extent to which alternatives and discarded options have been discarded. The more intrusive the decision, the more likely it is to attract a higher level of procedural fairness.

General Budget Consultation 2026/27

11.4 On 9 December 2025 Cabinet agreed to consult on the council's budget proposals for 2026/27.

11.5 The consultation opened on 19 December 2025 and concluded on 2 February 2026.

11.6 In terms of service-specific consultations the council has a duty to consult with service users where there are proposals to vary, reduce or withdraw services. Where appropriate, separate service-specific consultations have already taken place or will take place over the coming months. The outcomes of these consultations have been or will be reported via the Cabinet decision making process.

11.7 The following paragraphs set out the headline findings from the general budget consultation for 2026/27 which is being recommended to Full Council for approval. The detailed findings can be found in Appendix G.

Summary of consultation approach

11.8 The 2026/27 general budget consultation asked for views on the:

- overall budget, and savings and income generation proposals for 2026/27.
- proposal to increase General Council Tax by 2.98% in 2026/27.
- proposal to apply an Adult Social Care Precept on Council Tax of 2% to help pay for adult social care.
- Residents' views on the importance of council services, and which services should be prioritised in the context of the councils limited resources.

11.9 The consultation approach is outlined below:

- The Public Consultation consisted of an online questionnaire and summary consultation document which was published on the council's website.
- Paper copies and an easy-read version of the consultation document and questionnaire were also made available on request.
- As part of the council's statutory duty to consult with business rate payers, the consultation was widely promoted to businesses via the council's business newsletter 'Buzz', a press release, and through local business WhatsApp groups.
- The consultation was also widely promoted to residents and community groups via the council's residents' weekly e-Newsletter, the Barnet Together newsletter, posters in public places, and social media.
- Concurrently, the same questionnaire was sent to the Citizens' Panel to ensure the views of a representative sample of the borough's population were captured on the council's budget proposals.

Response to the consultation

11.10 Public Consultation: a total of 111 online questionnaires were completed and five written responses were received by email.

11.11 Citizens Panel: 192 online questionnaires were completed. Responses were weighted to ensure the sample was representative of the borough's population.

11.12 Five written responses were received by email.

Summary of key findings

Views on the overall budget for 2026/27

11.13 Two fifths (39%) of the Citizens' Panel agree with how the overall budget is split between the different directorates, whereas only one fifth (18%) of the Public Consultation agree. Conversely, the Citizens' Panel are less likely to disagree with the overall budget (37%) compared to the Public Consultation (68%). Panel members were more likely to be neutral (21%) compared to Public Consultation (14%).

Views on the council's proposals to increase Council Tax

11.14 Nearly two-thirds (63%) of the Citizens' Panel support at least one Council Tax increase, whereas only a third (32%) of Public Consultation support at least one Council Tax proposal.

11.15 Support for both proposals – increasing general Council Tax and the Adult Social Care Precept – is significantly higher with the Citizens' Panel (32%) compared to the Public Consultation (17%).

11.16 Residents responding to the Public Consultation were more likely to disagree with any Council Tax increase (66%) compared to Citizen Panel (39%).

Views on directorate savings and income proposals

11.17 The Citizens' Panel showed consistently higher levels of agreement across all directorates compared to the Public Consultation, with around half of the Citizens' Panel agreeing with the directorate saving and income proposals, whereas around a third or less of the Public Consultation agreed with the directorate savings and income proposals.

11.18 Citizens' Panel respondents' highest agreement levels were recorded for Children and Family Services (53%), Communities, Adults and Health (49%), Assurance and Public Protection (50%), and Environment (46%). Other directorates that also received comparatively strong agreement were: Strategy & Innovation (40%), Growth (38%), Resources (35%) all showed higher agreement levels than the Public Consultation.

11.19 In terms of the Public Consultation agreement levels with the directorate-level savings and income proposals were lower than the Citizens Panel but rated in a similar order. Again, Communities, Adults and Health (35%), Assurance and Public Protection (35%), and Children and Family Services (31%) and Environment (30%) received the highest proportions of agreement. Lower levels of agreement were recorded for Growth (27%), Resources (22%) and Strategy and Innovation (18%). These areas also had comparatively higher proportions selecting "disagree" or "neutral".

Services rated as very important or fairly important

11.20 Respondents were presented with a list of council services and asked to indicate how important each one was to them in terms of the councils' limited resources, using a scale of very important to not at all important.

Citizens' Panel

11.21 Citizens' Panel respondents placed higher importance on most services compared to the Public Consultation.

11.22 Services that received highest importance rating were recorded for Street cleaning (94%), Education and Services for schools (93%), Refuse Collection and Recycling (91%), Adult Social Care (89%), Highways - including roads and pavements, traffic management and parking control (87%), and Community Safety (86%).

11.23 Other top services rated as very important /fairly important included Children's Social care (84%), Parks and Open Spaces (80%), and Children and Family Services (80%).

Public Consultation

11.24 The Public Consultation rated services in a similar order to the Citizens' Panel, apart from Adults Social Care, Children's Social Care, and Children and Family Services, with the Public Consultation being less likely to rate these services as very important and fairly important compared to the Citizens' Panel.

11.25 The highest importance ratings for the Public consultation were for Street Cleaning (88%), Education and Services for Schools (85%), Highways - including roads and pavements (traffic management and parking control (85%) and Refuse Collection and recycling (83%).

11.26 Other services with high levels of importance included Community Safety (80%), Parks, Open Spaces and Playgrounds (79%).

Prioritisation, top four most important services

11.27 Respondents were then presented with the same list of council services and asked to select only four services that are the most important for the council to focus on in terms of their limited resources and in context of the council's limited resources and the need to look after our most vulnerable residents.

Citizens' Panel

11.28 The Citizens' Panel top four services they would like prioritised are: Adult Social Care (49%); Community Safety (43%); Education and Services for Schools (36%); and Highways- including maintaining roads and pavements (36%)

11.29 The Citizens' Panel expressed higher importance on services that protected our most vulnerable residents compared to the Public Consultation, namely Adult Social Care, Education and Services, Children Social Care and Children and Family Services.

11.30 Community Safety was their second top priority (49%), whereas the Public Consultation placed it as their top priority (55%).

11.31 The Citizen's Panel also put higher priority on street cleaning compared to the Public consultation, but both samples highlighted the other Universal Services and Housing as equal importance to prioritise.

Public Consultation

11.32 The Public Consultation top four services they would like prioritised are: Community Safety (55%), Highways (35%), Parks and Open Spaces (33%) and Refuse Collection and Recycling (30%).

11.33 A third (33%) of the Public Consultation indicated that Parks and Open Spaces were one of their four top priorities, whereas the Citizens' Panel placed it eighth, with only a quarter (23%) of the Citizens' Panel indicating it is one of their top four services the council should prioritise.

11.34 Overall, the Public Consultation tended to prioritise Community Safety and Universal Services higher compared to the Citizen Panel who prioritised protecting our most vulnerable residents.

Segmentation analysis

11.35 Segmentation analysis has been conducted on both sets of findings and no significant differences on residents' views were found in terms of protected characteristics.

11.36 Further details of the results, including analysis of free text questions can question and a break-down of respondents by protected characteristic is provided in the accompanying Appendix H.

12 Equalities and Diversity

12.1 Equality and diversity issues are a mandatory consideration in the decision-making of the council.

12.2 Decision makers should have due regard to the public-sector equality duty in making their decisions. The equalities duties are continuing duties they are not duties to secure a particular outcome. The equalities impact will be revisited on each of the proposals as they are developed. Consideration of the duties should precede the decision. It is important that Council has regard to the statutory grounds in the light of all available material such as consultation responses. The statutory grounds of the public-sector equality duty are found at section 149 of the Equality Act 2010 and are as follows below.

12.3 A public authority must, in the exercise of its functions, have due regard to the need to:

a. eliminate discrimination, harassment, victimisation and any other conduct that is prohibited by or under this Act;
b. advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it;
c. Foster good relations between persons who share a relevant protected characteristic and persons who do not share it.

12.4 Having due regard to the need to advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it involves having due regard, in particular, to the need to:

d. remove or minimise disadvantages suffered by persons who share a relevant protected characteristic that are connected to that characteristic;
e. take steps to meet the needs of persons who share a relevant protected characteristic that are different from the needs of persons who do not share it;
f. Encourage persons who share a relevant protected characteristic to participate in public life or in any other activity in which participation by such persons is disproportionately low.

12.5 The steps involved in meeting the needs of disabled persons that are different from the needs of persons who are not disabled include, in particular, steps to take account of disabled persons' disabilities.

12.6 Having due regard to the need to foster good relations between persons who share a relevant protected characteristic and persons who do not share it involves having due regard, in particular, to the need to:

g. Tackle prejudice, and
h. Promote understanding.

12.7 Compliance with the duties in this section may involve treating some persons more favourably than others; but that is not to be taken as permitting conduct that would otherwise be prohibited by or under this Act. The relevant protected characteristics are:

- Age
- Disability
- Gender reassignment
- Pregnancy and maternity
- Race,

- Religion or belief
- Sex
- Sexual orientation
- Marriage and Civil partnership

12.8 If deemed appropriate, a project may be subject to future individual portfolio or Cabinet decision once the budget envelope has been set by Council. The equality impacts will be updated for these decisions. Reserves may be used to avoid adverse equality impacts.

12.9 The Equality Act 2010 and The Public Sector Equality Duty impose legal requirements on elected Members to satisfy themselves that equality impact considerations have been fully taken into account in developing the proposals which emerge from the finance and business planning process, together with any mitigating factors. To allow the council to demonstrate that it has met the Public Sector Equalities Duty as outlined above, each year the council undertake a planned and consistent approach to business planning. This assesses the equality impact of relevant budget proposals for the current year (affecting staff and/or service delivery) across services and identifies any mitigation to ease any negative impact on particular groups of residents. This process is refined as proposals develop and for the Council meeting it includes the assessment of any cumulative impact on any particular group.

12.10 All human resources implications of the budget savings proposals will be managed in accordance with the council's Managing Organisational Change policy that supports the council's Human Resources Strategy and meets statutory equalities duties and current employment legislation.

12.11 The council's 'Towards a Fair Barnet' roadmap, which was developed in collaboration with residents builds on our vision from Our Plan for Barnet 2023-2026 to tackle inequalities and poverty. We recognise that Barnet's diversity is one of our greatest strengths, but we also know that not everyone has equal access to services and opportunities.

12.12 In launching this roadmap, we aspire to: *"A future in Barnet where the communities and places you belong to never unfairly impact the quality of your life and where accessible and efficient public services support the wellbeing of all residents."*

12.13 Service Equality Impact Assessments for 26/27 that have been completed have been published on the council's website at: Equality and diversity | Barnet Council.

12.14 This year, only four out of the 75 savings and income generation proposals for the 26/27 required an EqIA to be completed. The remaining 71 budget savings did not require an EqIA to be completed as they related to back office savings with no impact on front line services.

12.15 A Budget Cumulative Impact Equalities Assessment (CEqIA) has been completed on the four 26/27 EqIAs, further details can be found in Appendix H.

13 Background Papers

13.1 Cabinet February 2026: Agenda item 13 Agenda for Cabinet on Tuesday 24th February, 2026, 6.30 pm

13.2 Final Local Government Finance Settlement: England, 2026-2027 to 2028-2029 - GOV.UK

13.3 Provisional Local Government Finance Settlement 2026-2027 to 2028-2029 - GOV.UK

13.4 Cabinet December 2025: Agenda item 11 Agenda for Cabinet on Tuesday 9th December, 2025, 7.00 pm
13.5 Cabinet September 2025: Agenda item 22 Agenda for Cabinet on Tuesday 16th September, 2025, 7.00 pm
13.6 Cabinet July 2025: Agenda item 11 Agenda for Cabinet on Tuesday 22nd July, 2025, 7.00 pm
13.7 Spending Review 2025: Spending Review 2025 - GOV.UK